11.6 BULL PUT SPREAD STRATEGY

Explainer Video

The bull put spread strategy is more or less similar to call spread strategy. This strategy is used when we are Bullish on the underlying asset. This strategy would also limit our upside potential profit as well as losses. For this strategy, we receive a net premium instead of paying.

STEPS TO FORM A BULL PUT STRATEGY

BUY

We will buy a put option that has strike price lower than the strike price of the put option that we will be selling.

SELL

We will sell a Put option with strike price lower than the current market price of the underlying asset. We can even sell At the money or In the money options, but that will increase our risk accordingly as well.

MAXIMUM LOSS = DIFFERENCE IN STRIKE – NET PREMIUM

BREAKEVEN = STRIKE PRICE OF OPTION SOLD – NET PREMIUM

MAXIMUM PROFIT = NET PREMIUM